

7.3 COST OVERRUN ANALYSIS

Purpose of Cost Overrun Analysis

When expenses exceed your budget, it's critical to document and analyze what happened. This analysis helps you:

- Understand the true financial impact of the overrun
- Identify root causes and prevent future budget issues
- Make informed decisions about adjustments to other categories
- Learn valuable lessons for future projects
- Communicate clearly with lenders or partners about budget changes

Complete a Cost Overrun Analysis form whenever a budget category exceeds its allocated amount by more than 5%.

Cost Overrun Analysis #1

Budget Category: \_\_\_\_\_

Date Overrun Identified: \_\_\_\_\_

| Financial Details      | Amount   |
|------------------------|----------|
| Original Budget Amount | \$ _____ |
| Current Actual Cost    | \$ _____ |
| Overrun Amount         | \$ _____ |
| Percentage Over Budget | _____ %  |

Reason for Overrun (check all that apply):

☐ Underestimated material costs

☐ Underestimated labor costs

☐ Material price increases after initial budget

☐ Scope creep (added features or upgraded materials) © 2024 Build Your House

☐ Design changes or corrections

- ☐ Unforeseen site conditions
- ☐ Mistakes or rework required
- ☐ Code requirements not initially considered
- ☐ Weather delays increasing costs
- ☐ Other:

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**Detailed Explanation:**

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**Cost Overrun Analysis #1 (continued)****Budget Category:** \_\_\_\_\_**Could It Have Been Prevented?**☐ Yes   ☐ No   ☐ Partially**If yes or partially, how could it have been prevented?**

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**Lesson Learned:**

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**Impact on Total Budget:**

- ☐ Absorbed by contingency fund
- ☐ Requires cuts in other categories (list below)
- ☐ Requires additional financing
- ☐ Other:

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**Budget Categories to be Reduced (if applicable):**

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Action Plan Moving Forward:

Cost Overrun Analysis #2

Budget Category:

Date Overrun Identified:

| Financial Details      | Amount |
|------------------------|--------|
| Original Budget Amount | \$     |
| Current Actual Cost    | \$     |
| Overrun Amount         | \$     |
| Percentage Over Budget | %      |

Reason for Overrun (check all that apply):

☐ Underestimated material costs

☐ Underestimated labor costs

☐ Material price increases after initial budget

☐ Scope creep (added features or upgraded materials)

Cost Overrun Analysis #2 (continued)

Budget Category:

Reason for Overrun (continued):

☐ Design changes or corrections

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- ☐ Unforeseen site conditions
- ☐ Mistakes or rework required
- ☐ Code requirements not initially considered
- ☐ Weather delays increasing costs
- ☐ Other:

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**Detailed Explanation:**

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**Could It Have Been Prevented?**

- ☐ Yes   ☐ No   ☐ Partially

**If yes or partially, how could it have been prevented?**

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**Lesson Learned:**

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**Impact on Total Budget:**

- ☐ Absorbed by contingency fund
- ☐ Requires cuts in other categories (list below)
- ☐ Requires additional financing

☐ Other:

**Budget Categories to be Reduced (if applicable):**

**Action Plan Moving Forward:**

**Additional Notes**